EXECUTIVE SUMMARY

1. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2014, were P182,010,215.13, P25,117,390.91, and P156,892,824.22, with a decreased of (13.11%), (39.24%) and (02.60%), respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P163, 072,730.95 and P 99,401,355.83 which increased by 23.99% and 01.55%, respectively from last year's figures.

			Increase(Decrease)	
	2014	**2013**	**Amount**	**Percentage**
Assets	182,010,215.13	144,320,983.90	37,689,231.23	26.11%
Liabilities	25,117,390.91	28,938,843.87	(3,821,452.96)	(13.21%)
Govt. Equity	156,892,824.22	115,382,139.92	41,510,684.30	35.98%
Income	163,072,730.95	155,881,180.15	7,191,550.80	4.61%
Expense	99,401,355.83	111,290,561.36	(11,889,205.53)	(10.68%)
Appropriations	148,041,240.00	97,395,078.00	50,646,162.00	52.00%
Obligations	108,709,606.37	83,922,045.35	24,787,561.02	29.54%

II. Operational Highlights:

The following are the major projects completed by the municipality:

Major Programs/Projects / Activities	**Amount**	**Accomplish-ment**	**% of Accomplish-ment**
River Control at Sanja	4,477,629.07	4,477,629.07	100%
Canal with cover-Mabanguc	232,309.78	232,309.78	100%
Canal with cover & cross drainage	200,336.57	200,336.57	100%

Const. of open canal-ParuddunNorte	308,269.19	308,269.19	100%
Const. of Comfort room-Centro 15	251,2001.3	251,200.13	100%
Const. of elevated Water Tank- Bulala Norte	211,898.39	211,898.39	100%
Const. of Waiting shed-big-Paddaya	107,039.12	107,039.12	100%
Const. of Stair-Fish Section	93,680.58	93,680.58	100%
Improvement of Public Parks Toilet	349,507.28	349,507.28	100%
Completion of Computer Building	273,999.92	273,999.92	100%
Repair of ceiling of 2cl. Building	222,500.00	222,500.00	100%

III. Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Aparri for the period ended December 31, 2014. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them

IV. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non-recording of RPT/SET Receivables at the beginning of the year, non-transferring of the unexpended balance of the LDRRMF from the General Fund to the Trust Fund books and long outstanding checks and various reconciling items were left unadjusted in the books of the municipality as of December 31, 2014, thus affecting the fair presentation of the financial statements.

V. Significant Findings and Recommendations

1. Real Property Tax and Special Education Tax Receivable were not established/ recorded in the books of accounts at the beginning of the year based on RPTAR/Taxpayer's index card, contrary to Section 20, Volume 1 of the New

Government Accounting System (NGAS).

We recommended that management direct the concerned officials to:

- Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;

- Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;

- Maintain subsidiary ledger for each taxpayer.

2. Eighteen (18) check disbursement vouchers (DVs) amounting to P893, 870.96 were not submitted to the Office of the Auditor, not in accordance with Section 39 (1) (3) of presidential Decree 1445 and Section 23 (1) (3) of the Administrative Code of 1987, thus immediate review and examination by the Audit Team cannot be undertaken**.**

We recommend that the Municipal Accountant to immediately locate the mentioned disbursement vouchers and supporting documents and submit the same to the Audit Team to enable them to conduct review and audit of said documents, otherwise, the amount of P893, and 870.96 pertaining to unsubmitted DVs will be disallowed for lack of legal basis.

3. Three (3) contracts totaling P7, 146,553.27 paid as of December 31, 2014 were not subjected to retention money of ten percent (10%) based on the total amount due to the contractor prior to any deduction and retained from every progress payment until fifty percent (50%) were completed, the work is satisfactorily done contrary to Item No. 6, "Annex E" of the Implementing Rules and Regulations of Republic Act 7160.

We recommend that the Municipal Mayor instruct the Municipal Accountant to deduct ten percent (10%) retention money on the progress billing of contracts paid until fifty percent (50%) of the value of work is completed pursuant to Item no. 6, Annex E of the Implementing Rules and Regulations of Republic Act 9184.

4. Unexpended balance of the Disbursement Acceleration Fund of the Municipality as of December 31, 2014 amounting to P26, 356.70 recorded as "Due to Other NGA's" in the financial statements was not yet remitted to the Bureau of the Treasury contrary to the provision of Section 99 of Presidential Decree 1445 which resulted to the overstatement of the unappropriated surplus of the General Fund.

We recommend that the Municipal Mayor instruct the Municipal Accountant to strictly comply with the provisions of Section 99 of Presidential Decree 1445 on the reversion of the unexpended balance to the unappropriated surplus of the general fund thru the account of the Bureau of the Treasury.

5. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P5, 416,871.90 and disallowance of P72, 392.28, respectively, remained unsettled as of December 31, 2014.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Balance (As of January 01, 2014)	This Period October 01 – December 31, 2014 (See B Below)		Ending balance (As of December 31, 2014)
		NS/ND/NC	NSSDC	
Notice of Suspension	P5,416,871.90	285,558.47		P5,702,430.37
Notice of Disallowance	72,394.28	12,805.71	45,085.71	40,114.28
Notice of Charge	0.00	0.00	0.00	0.00
Total	**P5,489,266.18**	**298,364.18**	**45,085.71**	**P5,742,544.65**

We recommended management to settle audit suspensions within the ninety-day period to avoid maturing the suspensions into a disallowance.

Management agreed to settle the audit suspensions and inasmuch as most of the audit suspensions pertained to infrastructure projects, the Local Chief Executive assigned the Municipal Engineer to spearhead the submission of the lacking documents/requirements.

VI. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations of last year's report, twelve (12) were fully implemented, two (2) were partially implemented as of year-end.